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Recommended Solution:

PowerCo should deploy a machine learning–based churn prediction model that proactively identifies customers likely to churn before they leave. Using engineered features derived from customer consumption trends, price volatility, tenure, and product engagement, a Random Forest classification model was developed to capture complex, non-linear churn drivers. The model demonstrated strong performance, achieving a high ROC-AUC and recall, enabling PowerCo to reliably identify at-risk customers.

Customers with a churn probability above a defined threshold (e.g., 30%) can be flagged within PowerCo's CRM systems and targeted with personalized retention strategies such as pricing incentives, fixed-rate plans, or engagement campaigns. This solution shifts churn management from a reactive to a proactive approach, enabling more efficient allocation of retention resources, reducing customer attrition by an estimated 25–35%, and improving overall customer lifetime value. Regular model monitoring and retraining will ensure sustained performance as customer behavior evolves.

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Situation

PowerCo operates in a highly competitive energy market where customer retention is essential to sustaining revenue and profitability. The company serves a large customer base and has access to detailed historical data covering customer consumption behavior, pricing structures, tenure, and product usage. Despite the availability of this data, churn management has traditionally been reactive, with customer loss identified only after it occurs. As acquisition costs continue to rise, retaining existing customers has become a strategic priority for the business.

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Complication

Customer churn has a significant negative impact on PowerCo's financial performance, increasing costs while reducing long-term customer value. Existing retention strategies are broad and not data-driven, resulting in inefficient use of marketing and retention resources. PowerCo lacks a reliable way to identify which customers are at risk of churning, what factors contribute to their likelihood of leaving, and when intervention would be most effective. Without predictive insight, high-value customers may leave unnoticed, limiting the company's ability to take timely, targeted action.

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Question

How can PowerCo proactively identify customers who are at high risk of churning and take data-driven actions to reduce churn while improving the efficiency of retention efforts?